

CONTOSO GLOBAL - CONTRACT NEGOTIATION PLAYBOOK

Fallback positions and escalation guidance - Owner: Legal Operations - Classification: Internal

When a counterparty rejects a Standard Clause Library position, negotiators (and the drafting agent, as guidance only) may offer the **fallback** below before escalating. Anything beyond the fallback requires the approver named in the Delegation of Authority.

Payment Terms (CL-01)

Fallback: accept Net 45 in exchange for a 1% early-payment discount. **Escalate** below Net 45.

Limitation of Liability (CL-02)

Fallback: accept a cap of up to 24 months' fees provided carve-outs for confidentiality and IP infringement remain. **Escalate** any uncapped liability or removal of carve-outs to the General Counsel.

Indemnification (CL-03)

Fallback: mutual indemnity is acceptable if IP-infringement coverage is preserved. **Escalate** any removal of IP-infringement indemnity.

Governing Law (CL-05)

Fallback: England & Wales for EMEA counterparties. **Escalate** any other non-US jurisdiction to Legal before agreeing.

Confidentiality Term (CL-08)

Fallback: up to 5 years for sensitive technical information. **Escalate** perpetual confidentiality; it is non-negotiable.

Assignment & Change of Control (CL-11)

Fallback: consent not to be unreasonably withheld, with Contoso free to assign to affiliates. **Escalate** one-sided assignment rights.

Escalation contacts

Standard clauses: Legal counsel (legal@contoso.com). Non-negotiable terms and deals > USD 250,000: General Counsel.